

HOUSE No. 1482

The Commonwealth of Massachusetts

PRESENTED BY:

Manny Cruz and Orlando Ramos

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act to establish an accessory dwelling unit trust fund.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>Manny Cruz</i>	<i>7th Essex</i>	<i>1/17/2025</i>
<i>Orlando Ramos</i>	<i>9th Hampden</i>	<i>1/17/2025</i>
<i>John Francis Moran</i>	<i>9th Suffolk</i>	<i>2/11/2025</i>
<i>Marjorie C. Decker</i>	<i>25th Middlesex</i>	<i>2/18/2025</i>
<i>Samantha Montaño</i>	<i>15th Suffolk</i>	<i>2/18/2025</i>
<i>Mike Connolly</i>	<i>26th Middlesex</i>	<i>2/19/2025</i>
<i>Lindsay N. Sabadosa</i>	<i>1st Hampshire</i>	<i>3/3/2025</i>
<i>Carmine Lawrence Gentile</i>	<i>13th Middlesex</i>	<i>3/12/2025</i>
<i>Bruce E. Tarr</i>	<i>First Essex and Middlesex</i>	<i>4/4/2025</i>
<i>James B. Eldridge</i>	<i>Middlesex and Worcester</i>	<i>6/16/2025</i>
<i>Kevin G. Honan</i>	<i>17th Suffolk</i>	<i>10/16/2025</i>

HOUSE No. 1482

By Representatives Cruz of Salem and Ramos of Springfield, a petition (accompanied by bill, House, No. 1482) of Manny Cruz, Orlando Ramos and others for legislation to establish an accessory dwelling unit trust fund. Housing.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act to establish an accessory dwelling unit trust fund.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 The General Laws are hereby amended by inserting after Chapter 121H the following
2 chapter: Chapter 121F Accessory Dwelling Unit Fund

3 Section 1. As used in this section, the following words shall have the following meanings
4 unless the context clearly requires otherwise

5 "Accessory Dwelling Unit", As defined in MGL Chapter 40a Section 1a

6 "Eligible Participant", A property owner who has an income of up to 110% of the area
7 median income, as defined by the United States Department of Housing and Urban Development

8 "Fund", the Accessory Dwelling Unit Fund established in section 2

9 Section 2. There shall be an Accessory Dwelling Unit Trust Fund to support low- and
10 moderate-income property owners whose incomes are not more than 110 per cent of median
11 income as determined by the federal Department of Housing and Urban Development build an

12 Accessory Dwelling Unit. The fund shall be administered by the Executive Office of Housing
13 and Livable Communities or through contracts with 1 or more of the following administering
14 agencies: (i) the Community Economic Development Assistance Corporation, established in
15 chapter 40H; (ii) the Massachusetts Housing Partnership Fund, established in section 35 of
16 chapter 405 of the acts of 1985; or (iii) the Massachusetts Housing Finance Agency, established
17 in chapter 708 of the acts of 1966; provided, that an administering agency may directly offer
18 financial assistance for the purposes pursuant to this section or may enter into subcontracts with
19 non-profit organizations established pursuant to chapter 180 for those purposes; and provided
20 further, that the administering agency may establish additional program requirements through
21 regulations or policy guidelines.

22 Section 3. There shall be credited to the fund: (i) revenue from appropriations or other
23 money authorized by the general court and specifically designated for the fund; (ii) any gifts,
24 grants, private contributions, repayment of loans, fees and charges imposed relative to the
25 making of loans, grants, subsidies, credit enhancements and other financial assistance; (iii) any
26 investment income earned on the fund's assets; and (iv) any other sources. Money remaining in
27 the fund at the end of a fiscal year shall not revert to the General Fund.

28 Section 4. Funds expended pursuant to this chapter may be in the form of grants, loans or
29 other financial assistance to eligible participants to build an accessory dwelling unit by providing
30 reimbursement or an initial outlay of funds to cover pre-development and non-recurring closing
31 costs associated with building an Accessory Dwelling Unit, which may include, but shall not be
32 limited to, architectural and design costs, site preparation, such as clearance or landscaping,
33 utility connection fees, impact fees, permitting fees, or other services and activities determined

34 by the administering agency to be a pre-development or non-recurring closing costs; provided,
35 however, that assistance shall be the minimum amount necessary to make a project feasible.

36 Funds expended pursuant to this chapter may finance low and no interest loans, grants,
37 subsidies, credit enhancements and other financial assistance as determined by the administering
38 agency for the purpose of supporting the construction and development of Accessory Dwelling
39 Units; provided, however, that assistance shall be the minimum amount necessary to make a
40 project feasible.

41 Section 5. The Executive Office of Housing and Livable Communities may promulgate
42 regulations for the implementation, administration and enforcement of this chapter and may, in
43 consultation with the Executive Office of Economic Development, issue guidelines for the fund.